

DISSENTING OPINION BY M. PAPAZOFF.

[*Translation.*]

Being unable to concur in the judgment affirming the jurisdiction of the Court under the declarations of Belgium and Bulgaria accepting the compulsory jurisdiction of the Court, I feel that I must briefly record my separate opinion.

Under Article 36, paragraph 2, of the Statute of the Court, Belgium and Bulgaria have undertaken to recognize the compulsory jurisdiction of the Court under the conditions laid down in their declarations of adherence.

Bulgaria's declaration, which was ratified on August 12th, 1921, is as follows: "On behalf of the Government of the Kingdom of Bulgaria, I recognize, in relation to any other Member or State which accepts the same obligation, the jurisdiction of the Permanent Court of International Justice unconditionally."

Belgium's declaration is as follows: "On behalf of the Belgian Government, I recognize as compulsory, *ipso facto* and without special agreement, in relations to any other Member or State accepting the same obligation, the jurisdiction of the Court in conformity with Article 36, paragraph 2, of the Statute of the Court for a period of fifteen years, in any disputes arising after the ratification of the present declaration with regard to situations or facts subsequent to this ratification, except in cases where the Parties have agreed or shall agree to have recourse to another method of pacific settlement."

This declaration was ratified and came into effect on March 10th, 1926.

The Bulgarian declaration makes one condition only, that of reciprocity.

It is however recognized that the limitation embodied in the Belgian declaration applies as between the Parties, in consequence of the condition of reciprocity made in paragraph 2 of Article 36 of the Court's Statute, which is moreover repeated in the Bulgarian declaration.

Accordingly, it is necessary to determine the meaning and scope of the limitation embodied in the declaration of the Belgian Government. This limitation comprises two conditions: (1) the dispute must have arisen after the ratification of the declaration, and (2) the dispute must have arisen with regard to situations or facts subsequent to this ratification.

The Belgian declaration having been ratified on March 10th, 1926, it is that date, which may be called the "material date", which must be taken into account.

The Belgian declaration is drafted in such a way as to preclude any possibility of retrospective effect. The Court's compulsory jurisdiction is only accepted for the future. In no case can the past be called in question. That is why the condition that the dispute must have arisen after the ratification of the declaration is not enough; a further condition is necessary, namely that it must not have arisen with regard to situations or facts dating from before such ratification. In the present case, the two Parties agree that the dispute arose after the material date (i.e., after March 10th, 1926).

The Bulgarian Government, however, which has raised an objection to the jurisdiction *ratione temporis*, maintains that the second condition is not fulfilled, because the present dispute has arisen in regard to situations or facts dating from before March 10th, 1926. This objection is, in my opinion, fully established by the particulars furnished in the written proceedings. For the letter of the Belgian Minister of June 24th, 1937, in which he expresses the intention of the Belgian Government to refer the case to the Permanent Court of International Justice, contains the following passage: "After a review of the previous facts, a careful study of the judgment given by the Court of Appeal of Sofia on March 27th last has convinced the Belgian Government that the judicial decision rendered disregarded, notably on two points of fundamental importance, the rights of the Company as defined by the Belgo-Bulgarian Mixed Arbitral Tribunal set up under the Treaty of Neuilly, in its awards of July 5th, 1923, and May 27th, 1925, the strict application of which the Bulgarian Government was bound to ensure under the express terms of an international agreement, namely Article 188 of the Treaty of Neuilly." This letter makes it plain that the dispute arises from the situation established by the Belgo-Bulgarian Mixed Arbitral Tribunal's awards of July 5th, 1923, and May 27th, 1925.

The Belgian Memorial shows no less clearly that the present dispute arose with regard to the situation created by these awards. On page 12 of this Memorial we read: "In view of the disputes which arose with regard to the application of the formula contained in the Mixed Arbitral Tribunal's awards", etc.; and on page 14: "the experts responsible for the disputed formula"; on page 22: "the Belgian Government regards as a misapplication of the Mixed Arbitral Tribunal's award", etc.; and on page 33: "The Bulgarian High Courts have upset the very foundations of the whole system worked out by the Mixed Arbitral Tribunal."

This "system worked out" is certainly the "situation" created by the awards of the Mixed Arbitral Tribunal of 1923 and 1925 with regard to which the dispute arose. Without

the "formula" established by the Mixed Arbitral Tribunal there could have been no dispute.

In my opinion, this "situation" and the dispute which arose in 1937 stand in the relation of cause and effect. The Company could not have contended that its rights had been infringed, if the situation created by the awards of 1923 and 1925 had not existed. But this situation dates from before March 10th, 1926, and I think that that suffices. In my view it is unnecessary that the situation should itself have given rise to the dispute and that it should itself form the subject of a difference of opinion.

No such condition is made in the Belgian declaration. What is laid down is that the dispute must *arise*, that is to say must be born, after the ratification of the declaration. Furthermore, in order to prevent the declaration from having any retrospective effect, the dispute must have no connection with earlier situations or facts. This condition is contained in the words "with regard to". The essential point is that the past must not be called in question in any way, since the declaration of adherence is only to operate for the future.

I find this interpretation of the words "with regard to" confirmed by the fact that, whenever it was desired to take account of the origin of disputes in earlier facts, this was expressly stated. In the many treaties of conciliation, arbitration and judicial settlement concluded between Belgium and other countries, two different formulæ were used to fix the non-retrospective condition. Thus in the treaties concluded between Belgium and Germany, Turkey and Roumania we read: "disputes arising out of events prior to the present Convention and belonging to the past".

On the other hand, the treaties concluded by Belgium with Sweden, Switzerland, Finland, Portugal, Poland and Denmark contain the same expressions as those used in the Belgian declaration accepting the Court's compulsory jurisdiction and specify that the treaty shall only apply to disputes that may arise after the exchange of ratifications with regard to situations or facts prior to that date. In these treaties there is no longer any question of disputes "arising out of" prior events, nor any such words as "dispute arising out of a prior situation".

The fact that the present dispute goes back to a date prior to March 10th, 1926, is also clear from the submissions in the Belgian Memorial, which, in enumerating the damage sustained by the Electricity Company, says: "As the result of the judicial decisions rendered, the Company was required to pay to the Municipality of Sofia or to the Bulgarian Treasury: (a) as refund of excise alleged to have been collected under unlawful

conditions from 1925 to 1937", etc. Thus the dispute is concerned with sums received as long ago as 1925.

For the reasons given, I have come to the conclusion that the present dispute, although it arose after the material date of March 10th, 1926, arose with regard to a prior situation created by the awards of the Mixed Arbitral Tribunal given in 1923 and 1925.

I therefore hold that this dispute, by reason of the limitation *ratione temporis* contained in the Belgian declaration, does not fall within the jurisdiction of the Court.

(Signed) PAPAZOFF.